

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-21

PKDC, LLC,
Complainant,

v.

CMA CGM S.A.,
Respondent.

**COMPLAINANT’S RESPONSES TO
RESPONDENT’S PROPOSED FINDINGS OF FACT**

(Public Version)

A. The 2020-21 and 2021-22 Service Contracts Between PKDC and CMA CGM

1. CMA CGM and PKDC entered into a service contract for the 2020-21 service contract year, assigned SC No. 20-2947. PKDC’s Proposed Finding of Fact (“PFF”) #3.

Response: Admits.

2. At PKDC’s request, SC No. 20-2947 was amended in March of 2021 to reduce the 2020-21 MQC from 4,000 TEUs (2,000 FEUs) to 1,960 TEUs (980 FEUS). CMA045856, Respondent’s Appendix (“RX”) 0185.

Response: Admits that SC No. 20-2947 was amended in March of 2021 to reduce the 2020-21 MQC from 4,000 TEUs (2,000 FEUS) to 1,960 TEUS (980 FEUS). Denies that the amendment was at PKDC’s request. See RX0185 (email from CMA employee asking CMA to “[p]ls reduce the MQC to 1960 TEU”). PKDC could not enter a new service contract for the 2021-2022 contract year without first closing out SC No. 20-2947, and PKDC had no choice but agree to a drawdown amendment to avoid having to pay a fine. Martini Dep. at 62:22-25 [APP1010] (agreeing that a service contract must be closed out before a new one can be opened); see Grafton Dep. at 37:18-39:3 [APP0858-60] (discussing the drawdown amendment for the 2021-2022 service contract); RX0186 (noting no changes to the drawdown amendment or liquidated damages provisions between SC No. 20-2947 and the 2021-2022 service contract).

3. PKDC and CMA entered into a service contract for the 2021-22 service contract year, assigned SC No. 21-2947 (the “Service Contract.”). PKDC’s Proposed Finding of Fact #5.

Response: Admits.

4. The Service Contract had an effective date of March 19, 2021 and an expiration date of April 30, 2022. *Id.*

Response: Admits.

5. At the time of its signing, the Service Contract had a minimum quantity commitment (“MQC”) of 4,000 TEUs (2,000 FEUs). *Id.*; Complainant’s Appendix (“APP”) 0113.

Response: Admits.

6. The Service Contract covered the movement of furniture from various origin countries in Asia (including China, Taiwan, and Vietnam) to various ports and points in the United States (including Fife, WA, and Aurora, CO). *Id.*; APP0115.

Response: Admits.

7. The Service Contract did not guarantee any weekly allocations on any specific routing(s). APP0094-APP0119.

Response: Denies. Although the written service contract did not reflect weekly allocations, the parties did in fact agree on weekly allocations on specific routings, which were approved by CMA trade managers. *Eouzan Dep. at 66:22-69:15 [APP1069]; see Grafton Dep. at 29:12-30:11 [APP0850-51].*

8. CMA CGM transported 1,514 TEUs (757 FEUs) under the Service Contract. PKDC’s Proposed Finding of Fact #39.

Response: Admits.

9. Effective April 5, 2022, the Service Contract was amended to reduce the MQC to 1,514 TEUs (757 FEUs). APP0342.

Response: Admits.

B. PKDC’s 2021-22 Commitments to Carriers Other Than CMA CGM

10. PKDC’s total estimated volume of import cargo for the 2021-22 contract year was 11,500 TEUs (5,750 FEUs). PKDC’s Proposed Finding of Fact #9.

Response: Admits.

11. PKDC entered into service contracts with vessel operating common carriers (“VOCCs”) and contracts non-vessel operating common carriers (“NVOCCs”) under which it committed an total cargo volume of 20,000 TEUs (10,000 FEUs). CMA PFFs 16, 20, 24, 30, 33, 46, 48, 50, 52, and 54, *infra*.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits that PKDC entered into service contracts with VOCCs to ship all of its anticipated cargo volume for the 2021-2022 contract year. Admits that PKDC also entered into service contracts with NVOCCs as a backup plan in case VOCCs like CMA failed to honor their service contracts with PKDC. Grafton Dep. at 19:13-17, 21:20-25 [APP0840, APP0842]. Admits that the total cargo volume that could theoretically have been shipped under all of these service contracts was 20,000 TEUs (10,000 FEUs). Otherwise, denies.

12. PKDC has offered no explanation for why it committed to ship 20,000 TEUs (10,000 FEUs) when it expected to import only 11,500 TEUs (5,750 FEUs) of cargo.

Response: Denies. See Response to CMA PFF #11.

13. Despite making contractual commitments to move 20,000 TEUs (10,000 FEUs) with certain VOCCs and NVOCCs, PKDC shipped cargo with numerous other NVOCCs with which it did not have contracts. PKDC Responses to Interrogatories at 6-7 (APP1136-37).

Response: Admits that VOCCs (such as CMA) and NVOCCs with which PKDC had service contracts failed to honor those agreements, requiring PKDC to ship cargo with numerous other NVOCCs with which it did not have contracts. See, e.g., PK00071006 [RX0045] (“The NVOs are making everything complicated by not giving prices timely. Their strategy is probably to get the highest bid when they deal with prices CASE BY CASE. I honestly hate it as much as you everyone else does.”). Otherwise, denies. See Response to CMA PFF #11.

14. PKDC moved 4,320 TEUs (2,160 FEUs) with NVOCCs with which it did not have contracts during the term of the Service Contract. PKDC Responses to Interrogatories at 6-7 (APP1136-37).

Response: Admits.

15. Because PKDC moved 4,320 (2,160 FEUs) with NVOCCs with which it did not have contracts during the term of the Service Contract, it would have been impossible for PKDC to ship the MQC volumes it committed to move with VOCCs alone, not even taking into account PKDC’s MQC commitments to NVOCCs.

Response: Denies. See Response to CMA PFF #11. PKDC moved 2,160 FEUs with NVOCCs with which it did not have contracts during term of the Service Contract because VOCCs like CMA systematically failed to honor their service contract commitments. See, e.g.,

CMA077062 [APP0354] (conceding it was “a challenging year for CMA from a performance perspective”); CMA137966 [APP0352] (admitting that CMA “overcommit[ed]” and “under deliver[ed]”).

C. PKDC’s 2021-22 Service Contracts with VOCCs other than CMA CGM

16. PKDC entered into a service contract with ONE assigned number LAX9147B21, which had an initial MQC of 1,000 TEUs (500 FEUs) and covered many of the same routings as the Service Contract. Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

17. SC No. LAX9147B21 covered the movement of Furniture and Home Furnishings from origins in Asia to the United States and ran from May 1, 2021, to April 30, 2022. PK00080224, RK0069.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

18. PKDC shipped 224 TEUs (112 FEUs) TEUs with ONE during the term of SC No. LAX9147B21. PKDC Responses to Interrogatories at 5, APP1135.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

19. SC No. LAX9147B21 was amended to reduce the MQC to 164 TEUs (82 FEUs). PK00080386, RX0087.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

20. PKDC entered into a service contract with ZIM assigned number 7100140814, which had an initial MQC of 1,000 TEUs (500 FEUs) and covered many of the same routings as the Service Contract. PK00080504, RX0111.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

21. SC No. 7100140814 covered the movement of General Department Store Merchandise from origins in Asia to the United States and ran from April 2, 2021, to April 30, 2022. *Id.*

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

22. PKDC shipped 652 TEUs (326 FEUs) under SC No. 7100140814. PKDC Response to Interrogatories at 5, APP1135.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

23. SC No. 7100140814 was amended to reduce the MQC to 652 TEUs (326 FEUs). PK00080424, RX0108.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits..

24. PKDC entered into a service contract with COSCO assigned number LAI21502, which had an initial MQC of 2,500 TEUs (1,250 FEUs) and covered many of the same routings as the Service Contract. Bates PK00070978 [produced as a native file] and PK00079986, RX0067.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

25. SC No. LAI21502 covered the movement of goods from Asia to the United States and had a term beginning in April of 2021 and ending in April of 2022. *Id.*; PK00071357, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

26. PKDC shipped 1,086 TEUs (543 FEUs) under SC No. LAI21502. PKDC Response to Interrogatories at 5, APP1135.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

27. On May 2, 2025, PKDC filed a complaint against COSCO before the FMC in Docket Number 25-07.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

28. On November 23, 2025, PKDC filed an amended complaint against COSCO in Docket Number 25-07.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

29. In Docket Number 25-07, PKDC complained of unreasonable charges but did not raise allegations that COSCO failed to provide PKDC with space in accordance with its service contract.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

30. PKDC entered into a service contract with Evergreen assigned number SC86503, which had an initial MQC of 500 TEUs (250 FEUs) and covered many of the same routings as the Service Contract. Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

31. SC86503 covered the movement of goods from Asia to the United States and had a term beginning in early May of 2021 and ending in April of 2022. PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

32. PKDC shipped 288 TEUs (144 FEUs) under SC86503. PKDC Response to Interrogatories at 5, APP1135.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

33. PKDC entered into a service contract with Yang Ming assigned number 549121, which had an initial MQC of 2,500 TEUs (1,250 FEUs) and covered many of the same routings as the Service Contract. Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

34. SC No. 549121 covered the movement of goods from Asia to the United States and had a term beginning in early May of 2021 and ending in April of 2022. PK00070798 and PK00079995, RX0068.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

35. PKDC shipped 834 TEUs (417 FEUs) under SC No. 5491121. PKDC Response to Interrogatories at 5, APP1135.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

36. PKDC did not fulfill the initial MQCs of any of its service contracts for 2021-22. Grafton Depo., 33:19-22, APP0854.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits that the VOCCs and NVOCCs with which PKDC entered service contracts for 2021-22, like CMA, did not honor their service contract commitments.

37. PKDC has not offered any explanation of its failure to fulfill its contractual commitment to any of ONE, ZIM, COSCO, Evergreen, or Yang Ming.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for CMA's Shipping Act violations. Notwithstanding and without waiving this objection, admits that CMA never sought third-party discovery or asked PKDC through interrogatories as to why ONE, ZIM, COSCO, Evergreen, and Yang Ming failed to fulfill their contractual commitments to PKDC. See APP1131-43.

38. PKDC did not consider its service contracts with carriers to be a guarantee of space. PK00071007, RX0046.

Response: Denies. The proposed finding of fact mischaracterizes the cited email. By August 2021, CMA was systematically denying PKDC space on vessels, such that the Service Contract was no longer the guarantee of space that it was supposed to be. *See, e.g.*, PK00071007 [RX0046] (“Other than keep trying [to book], I don’t know what else I can advise you.”); *id.* (“You mean to say that we have to keep placing the booking every day ... even though they are on sea Priority or they may rejected for the space issue even though system has approved.”); CMA137742 [APP0526] (April 7, 2021 email from CMA employee stating: “I did hear from PKDC again this morning advising that we still rejected their bookings ex Vietnam.... We need to know why bookings aren’t being released as LISA CAM is now updated and this should not be the same message I receive day after day from the customer advising they can’t get any bookings from CMA.”).

39. As of mid-2021, PKDC had difficulty tracking the volume of cargo moved under its service contracts by carrier and/or destination. PK0073229, R0064.

Response: Denies. The cited email does not support the proposed finding of fact.

40. PKDC shipped between 16% and 65% of its service contract MQCs with any of the VOCCs. Grafton Depo., 33:17-18, APP0854.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

41. PKDC did not ship 100% of its MQC with any VOCC under a service contract. Grafton Depo., 33:19-22, APP0854.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

D. PKDC’s 2021-22 Contracts with NVOCCs

42. PKDC entered into contracts with multiple NVOCCs, agreeing to move a total MQC of 8,500 TEUs (4,250 FEUs) under those contracts. PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA’s liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits that PKDC entered into service contracts with multiple NVOCCs as a backup in the event VOCCs like CMA failed to honor their service contract commitments. Grafton Dep. at 19:13-17, 21:20-25 [APP0840, APP0842].

43. PKDC's corporate witness testified that, at the time PKDC entered into these agreements, "We did not want to any of that volume with NVOCCs" Grafton Depo. 21:23-24, APP0842.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

44. Instead, PDKC agreed to ship 8,500 TEUs (4,250 FEUs, nearly three quarters of its entire annual volume with NVOCCs while characterizing these agreements as "basically a backup plan." Grafton Depo., 21:24-25, APP0842.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

45. PKDC's corporate witness further testified that "We wanted to ship [PKDC's volume] just with VOCCs" and that "We certainly did not want to ship [PKDC's volume] with the NVOCCs." Grafton Depo., 22:8-9, 12-13, APP0843.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

46. PKDC entered into a contract with Expeditors for 2021-22, which contract had an MQC of 2,000 TEUs (1,000 FEUs). Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

47. PKDC shipped 370 TEUs (185 FEUs) with Expeditors during the term of that contract. PKDC Response to Interrogatories at 6, APP1136.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

48. PKDC's entered into a contract with Flexport for 2021-22, which contract had an MQC of 2,000 TEUs (1,000 FEUs). Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

49. PKDC shipped 18 TEUs (9 FEUs) with Flexport during the term of that contract. PKDC Response to Interrogatories at 6, APP1136.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

50. PKDC entered into a contract with Kuehne & Nagel for 2021-22, which contract had an MQC of 1,500 TEUs (750 FEUs). Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

51. PKDC shipped 140 TEUs (70 FEUs) with Kuehne & Nagel during the term of that contract. PKDC Response to Interrogatories at 6, APP1136.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

52. PKDC entered into a contract with OEC for 2021-22, which contract had an MQC of 2,000 TEUs (1,000 FEUs). Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

53. PKDC shipped 3,478 TEUs (1,739 FEUs) with OEC during the term of that contract. PKDC Response to Interrogatories at 6, APP1136.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

54. PKDC entered into a contract with C.H. Robinson for 2021-22, which contract had an MQC of 1,000 TEUs (500 FEUs). Bates PK00070978, [produced as a native file].

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

55. PKDC shipped no cargo with C.H. Robinson during the term of that contract. PKDC Response to Interrogatories at 6-7, APP1136-1137.

Response: Objects that service contracts with other VOCCs and with NVOCCs are irrelevant and immaterial to CMA's liability to PKDC for Shipping Act violations. Notwithstanding and without waiving this objection, admits.

E. PKDC Booking Procedures

56. PKDC's suppliers [REDACTED] PKDC. PK00070516 at 70517, RX0041.

Response: Admits

57. It was up to the supplier to decide which VOCC or NVOCC to use to move the cargo. PK00046835, RX0002; PK71004 at 71007; RX0046; PK00046776, RX0001.

Response: Admits.

58. PKDC had no procedure in place for prioritizing use of its contractual arrangements by its suppliers. Grafton Depo., 52:4-10, APP0873.

Response: Admits that PKDC's "booking office" did not have "criteria that it used to prioritize one carrier over another when both carriers were available for use." Grafton Dep. at 52:5-10 [APP0873]. Otherwise, denies as unsupported by the cited material.

59. PKDC suppliers booking cargo for shipment to PKDC with NVOCCs (brokers) required approval by PKDC's U.S. buyers of the rates at which that cargo would move. PK00071004, RX0043.

Response: Admits.

60. In mid-2021, PKDC suppliers responsible for booking PKDC shipments were confused about booking procedures and the need for rate approval. PK00071004, RX0043.

Response: Denies. The cited email does not support the proposed finding of fact. The cited email demonstrates that CMA's unexpected coercion of SPGO fees caused booking issues. PK00071004 [RX0043].

61. In mid-2021, PKDC [REDACTED]
[REDACTED] PK00046835, RX0002.

Response: Admits.

62. As of April of 2022, PKDC [REDACTED]
PK00047100, RX0017.

Response: Denies. The proposed finding of fact mischaracterizes the cited email. The cited email establishes that bookings under service contract rates were being approved timely. PK00047100 [RX0017].

63. PKDC suppliers sometimes moved cargo consigned to PKDC under the supplier's contract rather than under PKDC's contract(s). PK00047030, RX0004; PK00047079, RX0012.

Response: Admits.

F. PKDC Booking Issues Under CMA Service Contract

64. Of bookings attempted by PKDC or its suppliers, 1,426 TEUs (713 FEUs) were rejected because they were attempted before the applicable booking window opened. Ewan Affidavit, ¶ 7, APP0821.

Response: Admits that CMA cancelled 1,426 TEUs (713 FEUs) of PKDC's bookings because they were ostensibly requested too early, even though according to CMA's corporate representative, it was impossible to book too early and cancellations were "mainly, if not only" driven by "equipment availability." Eouzan Dep. at 82:18-22, 107:12-23 [APP1073, APP1079]. Otherwise, denies.

65. Of bookings attempted by PKDC or its suppliers, 882 TEUs (441 FEUs) were rejected because the booking exceeded the amount of space allocated to PKDC. Ewan Affidavit ¶ 8, APP0821).

Response: Admits that CMA cancelled 882 TEUs (441 FEUs) of PKDC's bookings because they exceeded the amount of space allocated to PKDC, even though CMA was supposed to try to make up MQC shortfalls from week to week. Martini Dep. at 90:20-22 ("CMA would try to catch up if there was a shortfall one week.") [APP1017]. Otherwise, denies.

66. PKDC's corporate witness testified that CMA's representatives "told [PKDC] repeatedly that if [PKDC] tried to ask for excess of that agreed allocation on that port pair, that those bookings would be automatically declined." Grafton Depo., 29:25-30:4, APP0850-0851.

Response: Admits.

67. Of bookings made by PKDC or its suppliers, bookings for 546 TEUs (273 FEUs) were cancelled by the booking party for its own reasons. Ewan Aff. ¶ 9, APP0821.

Response: Admits.

68. The reasons for a booking party to cancel a booking included an inability to ship, suppliers stopping bookings due to customs issues resulting from relocations, cargo being rerouted, and lockdowns in China. PK00047091, Tab entitled PO Pending – Not Ready, [produced as a native file]; PK000047681, RX0031.

Response: Admits.

69. Of bookings made by PKDC or its suppliers, bookings for 226 FEUS (113 FEUs) were cancelled because the routing or port of call for the booking was not available for the relevant service. Ewan Aff. ¶ 10, APP0821.

Response: Admits.

70. For example, PKDC and/or its suppliers tried to book cargo on routings on which it had no allocation. CMA037627, RX0165; Bates CMA002187 through 002188, RX0203.

Response: Admits.

G. Amendment of MQC of PKDC Service Contracts

71. All of PKDC's service contracts for 2021-22 were amended to reduce the MQC. Grafton Depo., 37:18 through 38:10, APP0858-0859.

Response: Objects that the actions of other carriers with respect to their service contracts with PKDC are irrelevant and immaterial to CMA's liability to PKDC for CMA's Shipping Act violations. Notwithstanding and without waiving this objection, admits.

72. PKDC's 2021-22 service contract with CMA CGM was amended to reduce the MQC in order to avoid a penalty. Grafton Depo., 37:18 through 38:10, APP0858--859.

Response: Admits.

73. The amendment reducing the MQC was voluntary, and not coerced. Bates CMA018290, RX0206.

Response: Denies. The cited email does not support the proposed finding of fact. PKDC had no choice but to accept the MQC reduction, or otherwise face "deadfreight issues," i.e., a penalty, and be unable to contract for the next year. CMA018290 [RX0206]; Grafton Dep. at 37:18-38:25 [APP0858-59] ("[A]s you get towards the end of the contract, you know, we didn't feel, in regards to CMA, that ... we had a lot of options. We felt that we had to close out the contract so that we could then talk to CMA about contracting for the next year.... We felt that we didn't have any choice but to reduce the MQC to what was shipped.").

H. CMA CGM's Space Allocation Policy

74. It was CMA CGM's policy to allocate space based on a customer's MQC. CMA Reply to PKDC's First Interrogatories at 7, APP0800.

Response: Admits that CMA's stated policy was to allocate space based on a customer's MQC. Denies that CMA actually followed that policy during the 2021-2022 service contract year. See, e.g., CMA137742 [APP0526]; CMA133808 [APP0659]; CMA146967 [Native].

75. The MQC of a contract would be divided by 52 (weeks in a year) to arrive at a total weekly projection. Eouzan Depo., 117:14-25, APP1081; Grafton Depo. at 58:24 through 60:3, APP0879-0881.

Response: Admits that the MQC of a contract would be divided by 52 (weeks in a year) to arrive at a total "weekly allocation." Eouzan Dep. at 117:14-25 [APP1081] (emphasis added). Otherwise, denies as unsupported by the cited materials.

76. CMA CGM and the customer would then agree on how the total weekly projection would be divided among the routings covered by the service contract. Eouzan Depo. at 117:16-25, APP1081.

Response: Admits that CMA CGM and the customer would then agree on how the total weekly allocation would be divided among the routings covered by the service contract. Otherwise, denies as unsupported by the cited material.

77. The total weekly space projection and how that weekly projection is divided among the routings covered by the service contract are not part of the service contract. PKDC Contract, APP0094-0120.

Response: Objects as the proposed finding of fact states a legal conclusion. Notwithstanding and without waiving this objection, denies. The total weekly allocation, and how that weekly allocation was divided among the routing covered by the Service Contract, although not in the written contract, formed part of the parties' agreement. See, e.g., Eouzan Dep. at 117:14-25 [APP1081]; CMA057774 [APP0369]; CMA146967 [Native].

78. CMA management ordered local personnel to cancel bookings when accepting extra cargo from some accounts meant others might not receive their full allocation. Bates CMA038825, RX0167.

Response: Denies. The cited email does not support the proposed finding of fact. CMA management ordered local personnel to cancel some bookings above allocation "[i]n order to accommodate additional VIP volumes[.]" CMA038826 [RX0168] (emphasis added).

I. Extra Space Was Made Available to PKDC

79. CMA CGM offered space to PKDC in excess of PKDC's allocation at applicable contract rates. For example, CMA CGM offered space for 12 TEU/6 FEU in excess of PKDC's normal allocation in November of 2021. Bates CMA074243, RX0204.

Response: Denies. The cited email does not support the proposed finding of fact. The cited email proves that CMA would only offer the space that PKDC needed to make up CMA's MQC shortfalls if PKDC agreed to pay "SPGO on top" of contract rates. CMA074243 [RX0204].

80. CMA CGM provided PKDC with space in excess of its agreed projection when it was possible to do so. Bates CMA133626, RX0211.

Response: Admits that CMA would accept bookings in excess of PKDC's weekly allocation. Otherwise, denies. CMA would routinely cancel bookings in excess of weekly allocation. See, e.g., Ewan Aff. ¶ 8 [APP0821].

J. Contract Rates

81. CMA honored its contract rates for space within PKDC's contract projection, and sought additional compensation only with respect to cargo volumes in excess of that allocation. Bates CMA074243, RX0204; PK00047193, RX0021.

Response: Denies. CMA coerced PKDC into paying additional fees to carry less cargo than CMA had agreed to carry in the initial Service Contract. See, e.g., CMA140844 [APP0689] ("Without PSS acceptance, it will be difficult for [CMA] to continue to consistently move volume for PKDC.").

82. PKDC offered to pay premium rates for additional space. PK00047193, RX0021.

Response: Denies. CMA coerced PKDC into paying additional fees to carry less cargo than CMA had agreed to carry in the initial Service Contract. See, e.g., CMA140844 [APP0689] ("Without PSS acceptance, it will be difficult for [CMA] to continue to consistently move volume for PKDC.").

83. PKDC willingly agreed to application of a Peak Season Surcharge for cargo moving in excess of its projection. Bates CMA001011, RX0143.

Response: Denies. CMA coerced PKDC into paying additional fees to carry less cargo than CMA had agreed to carry in the initial Service Contract. See, e.g., CMA140844 [APP0689] ("Without PSS acceptance, it will be difficult for [CMA] to continue to consistently move volume for PKDC.").

84. PKDC issued a blanket approval of the application of a Sea Priority Go surcharge in August of 2021. PK00071599, RX0058.

Response: Admits that PKDC instructed its booking office to accept coerced SPGO fees because of “this market[.]” PK00071599 [RX0058]. Otherwise, denies. CMA coerced PKDC into paying SPGO to move cargo volume that it should have already moved at the rates set forth in the initial Service Contract. *See, e.g.*, CMA140685 [APP1166]; *see also* Martini Dep. at 90:20-22 (“CMA would try to catch up if there was a shortfall one week.”) [APP1017].

85. The first six (6) amendments to the Service Contract were amendments to the rates set forth therein. APP0120, APP0146, APP0173, APP198, APP0223, and APP 0250.

Response: Admits.

86. The Service Contract was amended in July of 2021 to provide for the application of a Peak Season Surcharge (“PSS”). APP0300.

Response: Admits.

K. Detention

87. PKDC had eight (8) days of free time in which to return empty containers in Denver. Rouget Affidavit, ¶ 4, RX0259.

Response: Admits.

88. During the first six months of 2022, PKDC kept containers for an average of 16 days, and returned only 43% of containers within the contractual 8-day free time period. Rouget Affidavit, ¶ 4., RX0259.

Response: Admits that during the first six months of 2022, PKDC was unable to return containers for an average of 16 days, and was able to return only 43% of containers within the contractual 8-day free time period. Otherwise, denies.

89. Numerous other CMA CGM customers shipping equal or greater volumes during the same period had a much better record of returning empty containers within eight days. Rouget Affidavit, ¶ 5, RX0259.

Response: Objects that whether “[n]umerous other CMA CGM customers shipping equal or greater volumes during the same period had a much better record of returning empty containers within eight days” is irrelevant to whether containers were in fact able to be returned at UPRR Denver between July and November of 2022. Notwithstanding and without waiving this objection, that other CMA customers did not have issues returning containers at rail terminals other than UPRR Denver. Otherwise, denies.

90. Between July-November of 2022, PKDC shipped nearly three times the volume of cargo to the Denver area as it did in the first six months of the year and its on-time return performance deteriorated significantly. During these five months, PKDC kept containers for an average of 21 days and returned only 5% of containers within its contractual 8-day free time period. Rouget Affidavit, ¶ 6, RX0259.

Response: Admits that because CMA failed to honor its commitments in the Service Contract, PKDC ended up shipping more cargo volume in the first half of the subsequent contract year by comparison. Admits that between July-November of 2022, PKDC was unable to return containers for an average of 21 days and was able to return only 5% of containers within the contractual 8-day free time period. Otherwise, denies.

91. In contrast, other customers shipping comparable volumes had no such issues returning the majority of their containers on time, with one comparable customer returning 94% of its containers within eight days. Rouget Affidavit, ¶ 7, RX0259.

Response: Objects that whether “other customers shipping comparable volumes had no such issues returning the majority of their containers on time” is irrelevant to whether containers were in fact able to be returned at UPRR Denver between July and November of 2022. Further objects to the phrase “comparable customer” as undefined and vague, as there is no explanation of where this customer was returning containers or during what time period. Notwithstanding and without waiving these objections, admits that other CMA customers did not have issues returning containers at rail terminals other than UPRR Denver. Otherwise, denies.

L. Damages

92. Approximately 40% of PKDC’s cargo was to be loaded at the ports of Ho Chi Minh, Vietnam, Shanghai, China and Yantian, China. Bates PK00070978, [produced as a native file].

Response: Admits.

93. Each VOCC and NVOCC with which PKDC had contractual arrangements for 2021-22 charged the same rate from each of these three ports, i.e., Ho Chi Minh, Shanghai and Yantian. PK00070978, [produced as a native file].

Response: Admits.

94. The rates charged by each of the 5 NVOCCs with which PKDC had contractual arrangements for movements from these ports during 2021-22 were between \$309 and \$1,544 per FEU higher than CMA CGM’s rate from those ports. PK00070978, [produced as a native file].

Response: Admits.

95. The arithmetic average of the difference between the rates of those five (5) NVOCCs for cargo moving from these three ports is \$853.60.

Response: Admits.

M. Miscellaneous

96. PKDC expressed a desire to keep working with CMA beyond the expiration of the 2021-22 service contract. REL_ECA000001784, Bates CMA027782, RX0139.

Response: Admits.

97. PKDC signed a service contract with CMA for 2022-23. Bates CMA018831, [produced as a native file].

Response: Admits.

98. PKDC invited CMA CGM to participate in quoting on business for the 2023-24 contract year. Bates CMA031008, RX0239.

Response: Admits.

Respectfully submitted,

/s/ Luke Mathers

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CERTIFICATE OF SERVICE

I certify that on July 7, 2026, the foregoing submission was served by electronic mail on all counsel of record, in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020, as follows:

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